

Dependency Advocacy Center

Financial Statements

September 30, 2024
(With Comparative Totals for 2023)



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INDEPENDENT AUDITOR'S REPORT

Board of Directors
Dependency Advocacy Center

Opinion

We have audited the accompanying financial statements of Dependency Advocacy Center ("DAC"), which comprise the statement of financial position as of September 30, 2024, and the related statements of activities, functional expenses, and cash flows for the year then ended and the related notes to the financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Dependency Advocacy Center as of September 30, 2024, and the changes in its net assets and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Dependency Advocacy Center and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Change in Accounting Principle

As described in Note 2 to the financial statements, DAC has adopted FASB Topic 326, *Measurement of Credit Losses on Financial Instruments*. Our opinion is not modified with respect to that matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Dependency Advocacy Center's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements, including omissions, are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Dependency Advocacy Center's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Dependency Advocacy Center's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control related matters that we identified during the audit.

Report on Summarized Comparative Information

We have previously audited Dependency Advocacy Center's 2023 financial statements, and we expressed an unmodified audit opinion on those audited financial statements in our report dated February 1, 2024. In our opinion, the summarized comparative information presented herein as of and for the year ended September 30, 2023, is consistent, in all material respects, with the audited financial statements from which it has been derived.



San Ramon, California

February 5, 2025

Dependency Advocacy Center
Statement of Financial Position
September 30, 2024
(With Comparative Totals for 2023)

	<u>2024</u>	<u>2023</u>
ASSETS		
Cash	\$ 1,147,240	\$ 1,324,721
Grants and contract receivables	997,474	650,813
Prepaid expenses and deposits	39,236	49,938
Operating lease right-of-use asset, net	684,311	118,258
Finance lease right-of-use asset	9,470	-
Property and equipment, net	<u>10,961</u>	<u>22,252</u>
Total assets	<u>\$ 2,888,692</u>	<u>\$ 2,165,982</u>
LIABILITIES AND NET ASSETS		
Liabilities		
Accounts payable	\$ 22,225	\$ 23,182
Accrued liabilities	304,050	308,613
Operating lease liability	688,335	130,218
Finance lease liability	<u>9,563</u>	<u>-</u>
Total liabilities	<u>1,024,173</u>	<u>462,013</u>
Net assets		
Without donor restrictions	1,734,979	1,680,109
With donor restrictions	<u>129,540</u>	<u>23,860</u>
Total net assets	<u>1,864,519</u>	<u>1,703,969</u>
Total liabilities and net assets	<u>\$ 2,888,692</u>	<u>\$ 2,165,982</u>

The accompanying notes are an integral part of these financial statements.

Dependency Advocacy Center
Statement of Activities
For the Year Ended September 30, 2024
(With Comparative Totals for 2023)

	Without Donor Restrictions	With Donor Restrictions	2024 Total	2023 Total
Revenues, gains and other support				
Grants and contract revenue	\$ 4,567,132	\$ 128,540	\$ 4,695,672	\$ 4,532,513
In-kind contributions	163,288	-	163,288	63,000
Contributions	44,003	1,903	45,906	21,665
Special events, net	2,285	-	2,285	-
Other revenue	30,263	-	30,263	-
Net assets released from restriction	24,763	(24,763)	-	-
Total revenues, gains and other support	<u>4,831,734</u>	<u>105,680</u>	<u>4,937,414</u>	<u>4,617,178</u>
Functional expenses				
Program	<u>4,286,984</u>	<u>-</u>	<u>4,286,984</u>	<u>3,995,388</u>
Support services				
Management and general	346,246	-	346,246	277,226
Fundraising	<u>143,634</u>	<u>-</u>	<u>143,634</u>	<u>76,574</u>
Total support services	<u>489,880</u>	<u>-</u>	<u>489,880</u>	<u>353,800</u>
Total functional expenses	<u>4,776,864</u>	<u>-</u>	<u>4,776,864</u>	<u>4,349,188</u>
Change in net assets	54,870	105,680	160,550	267,990
Net assets, beginning of year	<u>1,680,109</u>	<u>23,860</u>	<u>1,703,969</u>	<u>1,435,979</u>
Net assets, end of year	<u>\$ 1,734,979</u>	<u>\$ 129,540</u>	<u>\$ 1,864,519</u>	<u>\$ 1,703,969</u>

The accompanying notes are an integral part of these financial statements.

Dependency Advocacy Center
Statement of Functional Expenses
For the Year Ended September 30, 2024
(With Comparative Totals for 2023)

	<u>Program</u>	<u>Support Services</u>		<u>2024 Total</u>	<u>2023 Total</u>
		<u>Management and General</u>	<u>Fundraising</u>		
Personnel expenses					
Salaries and wages	\$ 2,900,827	\$ 245,250	\$ 98,050	\$ 3,244,127	\$ 2,977,464
Payroll taxes	246,069	3,752	1,500	251,321	226,743
Employee benefits	<u>302,267</u>	<u>45,298</u>	<u>18,110</u>	<u>365,675</u>	<u>304,869</u>
Total personnel expenses	3,449,163	294,300	117,660	3,861,123	3,509,076
Professional services	40,785	-	-	40,785	34,693
In-kind professional services	163,288	-	-	163,288	63,000
Training	27,448	3,229	1,615	32,292	16,993
Insurance	42,542	5,005	2,503	50,050	43,072
Rent	187,591	22,070	11,035	220,696	231,831
Postage and printing	88	10	5	103	54
Office supplies and equipment	83,255	9,795	4,897	97,947	77,085
Other expense	281,928	10,555	5,278	297,761	356,739
Depreciation and amortization	<u>10,896</u>	<u>1,282</u>	<u>641</u>	<u>12,819</u>	<u>16,645</u>
	<u>\$ 4,286,984</u>	<u>\$ 346,246</u>	<u>\$ 143,634</u>	<u>\$ 4,776,864</u>	<u>\$ 4,349,188</u>

The accompanying notes are an integral part of these financial statements.

Dependency Advocacy Center
Statement of Cash Flows
For the Year Ended September 30, 2024
(With Comparative Totals for 2023)

	<u>2024</u>	<u>2023</u>
Cash flows from operating activities		
Change in net assets	\$ 160,550	\$ 267,990
Adjustments to reconcile change in net assets to net cash provided by (used in) operating activities		
Depreciation and amortization	12,819	16,645
Amortization of operating lease right-of-use asset	173,719	195,414
Changes in operating assets and liabilities		
Grants and contract receivables	(346,661)	49,881
Prepaid expenses and deposits	10,702	(1,134)
Accounts payable	(957)	5,296
Accrued liabilities	(4,563)	61,462
Deferred rent	-	(28,526)
Operating lease liability	<u>(181,655)</u>	<u>(183,454)</u>
Net cash provided by (used in) operating activities	<u>(176,046)</u>	<u>383,574</u>
Cash flows from investing activities		
Purchases of property and equipment	<u>-</u>	<u>(17,257)</u>
Net cash provided by (used in) investing activities	<u>-</u>	<u>(17,257)</u>
Cash flows from financing activities		
Payments on finance lease liability	<u>(1,435)</u>	<u>-</u>
Net cash provided by (used in) financing activities	<u>(1,435)</u>	<u>-</u>
Net increase (decrease) in cash	(177,481)	366,317
Cash, beginning of year	<u>1,324,721</u>	<u>958,404</u>
Cash, end of year	<u><u>\$ 1,147,240</u></u>	<u><u>\$ 1,324,721</u></u>

Supplemental schedule of noncash investing and financing activities

Right-of-use assets obtained in exchange for lease liabilities	\$ 750,770	\$ 313,672
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The accompanying notes are an integral part of these financial statements.

Dependency Advocacy Center
Notes to Financial Statements
September 30, 2024

1. NATURE OF OPERATIONS

Dependency Advocacy Center ("DAC") is a nonprofit public benefit corporation. DAC provides zealous legal representation to indigent clients in the juvenile dependency system to promote timely reunification and preservation of families in a safe, healthy environment.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of accounting and financial statement presentation

The financial statements of DAC have been prepared on the accrual basis of accounting in accordance with generally accepted accounting principles in the United States of America ("U.S. GAAP").

Net assets and changes therein are classified as follows:

- *Net assets without donor restrictions* - Net assets not subject to donor-imposed restrictions.
- *Net assets with donor restrictions* - Net assets subject to donor-imposed stipulations that will either be fulfilled or expire by passage of time.

Revenues are reported as increases in net assets without donor restrictions unless use of the related assets is limited by donor-imposed restrictions. Expenses are reported as decreases in net assets without donor restrictions. Gains and losses on assets and liabilities are reported as increases or decreases in net assets without donor restrictions unless their use is restricted by explicit donor restriction or by law. Expirations of restrictions on net assets with donor restrictions (i.e., the donor-stipulated purpose has been fulfilled and/or the stipulated time period has elapsed) are reported as transfers between the applicable classes of net assets. Donor-restricted contributions whose restrictions are met in the same reporting period as the contribution are reported as without donor restriction.

Revenue recognition

DAC recognizes contributions when cash, securities or other assets, or an unconditional promise to give is received. Conditional promises to give are not recognized until they become unconditional, which is when the donor-imposed barriers have been overcome and there is no longer a right of return or release. Contributions, including unconditional promises to give, are recognized as revenues in the period the promise is received. Contributions received and promises to give are reported as net assets without donor restrictions or net assets with donor restrictions, depending on donor restrictions (if any).

Dependency Advocacy Center
Notes to Financial Statements
September 30, 2024

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Revenue recognition (continued)

A portion of DAC's revenue is derived from cost-reimbursable state and county contracts and grants, which are conditioned upon certain performance requirements and/or the incurrence of allowable qualifying expenses. The revenue generated from these contracts meets the criteria to be classified as conditional contributions under GAAP revenue recognition as they contain barriers related to the incurrence of qualifying expenditures and a right of return or release. Amounts received are recognized as revenue when DAC has incurred expenditures in compliance with specific contract or grant provisions. DAC has elected a simultaneous release option to account for these grants and thus are recorded as grants and contract revenue without donor restriction upon satisfaction of the barriers. DAC has been awarded cost-reimbursable grants of approximately \$2,100,000 that have not been recognized at September 30, 2024 because qualifying expenditures have not yet been incurred.

DAC has also entered into state and local contracts that call for monthly invoicing based on actual services provided at agreed-upon rates up to the maximum amount of the contract. Revenue under these contracts is recognized as the services are provided.

Cash

For the purposes of the statement of cash flows, DAC considers all money market funds and highly liquid debt instruments purchased with a remaining maturity of three months or less to be cash. Cash may exceed federally insured limits. DAC believes that it mitigates this risk by maintaining deposits with major financial institutions.

Grants and contract receivables

Grants and contract receivables to be received after one year are discounted at an appropriate rate commensurate with the risks involved. Amortization of the discount is recorded as additional contribution revenue in accordance with donor-imposed restrictions, if any, on the contributions. All grants and contract receivables are expected to be paid within one year. All grants and contract receivables are receivable from governmental agencies and are deemed fully collectible. Therefore, no allowance for credit losses has been provided.

Dependency Advocacy Center
Notes to Financial Statements
September 30, 2024

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Property and equipment

DAC capitalizes all property and equipment with a cost or fair value in excess of \$500 and an estimated useful life in excess of one year. Property and equipment is carried at cost or, if donated, at the estimated fair value on the date of the gift. Minor repairs and maintenance are charged against earnings as incurred. Major repairs and maintenance that extend the useful life of the respective asset are capitalized. Whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recovered DAC, using its best estimates and projections, reviews assets for impairment considering the carrying value of long-lived identifiable assets to be held and used in the future. DAC will record impairment losses when determined. Depreciation is calculated using the straight-line method over estimated useful lives of 3-10 years.

Contributed services

Contributed services are reflected in the financial statements at the fair value of the services received only if the services received (a) create or enhance nonfinancial assets or (b) require specialized skills that are provided by individuals possessing those skills and would typically need to be purchased if not provided by donation.

Functional expense allocation

The costs of providing programs and other activities have been summarized on a functional basis in the statement of activities. Expenses such as payroll and benefits have been allocated among program services and supporting services based upon the employees' time spent by function. Facility related costs such as depreciation, office supplies and maintenance have been allocated based on estimated square footage.

Income tax status

DAC is exempt from Federal income and California franchise taxes under provisions of Section 501(c)(3) of the Internal Revenue Code and Section 23701d of the California Revenue and Taxation Code, respectively. As such, there is no provision for income taxes.

DAC has evaluated its current tax positions and has concluded that as of September 30, 2024, DAC does not have any significant uncertain tax positions for which a reserve would be necessary.

Use of estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results could differ from those estimates.

Dependency Advocacy Center
Notes to Financial Statements
September 30, 2024

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Summarized financial information

The financial statements include certain prior year summarized comparative information in total but not by net asset classification. Such information does not include sufficient detail to constitute a presentation in conformity with accounting principles generally accepted in the United States of America. Accordingly, such information should be read in conjunction with the DAC's financial statements for the year ended September 30, 2023, from which the summarized information was derived.

Leases

DAC determines if an arrangement is a lease at inception. Operating leases are included in operating lease ROU assets and operating lease liability on the statement of financial position. Finance leases are included in property and equipment and other long-term liabilities on the statement of financial position. DAC does not have any finance leases.

ROU assets represent DAC's right to use an underlying asset for the lease term and lease liabilities represent DAC's obligation to make lease payments arising from the lease. Operating lease ROU assets and liabilities are recognized at the commencement date based on the present value of lease payments over the lease term. If DAC's lease agreement does not provide an implicit rate, DAC will use the risk-free rate based on the information available at the commencement date in determining the present value of lease payments. Lease expense for lease payments is recognized on a straight-line basis over the lease term.

DAC's lease agreements do not contain any material residual value guarantees or material restrictive covenants.

DAC has elected not to recognize right-of-use assets and lease liabilities for short-term leases and instead records them in a manner similar to operating leases under legacy leasing guidelines. A short-term lease is one with a maximum lease term of 12 months or fewer and does not include a purchase option that the lessee is reasonably certain to exercise.

Change in accounting principle

In June 2016, the Financial Accounting Standards Board ("FASB") issued ASU 2016-13, Financial Instruments - Credit Losses (Topic 326): *Measurement of Credit Losses on Financial Instruments* (ASC 326). This standard replaced the incurred loss methodology with an expected loss methodology that is referred to as the current expected credit loss ("CECL") methodology. CECL requires an estimate of expected credit losses for the remaining estimated life of the financial asset using historical experience, current conditions, and reasonable and supportable forecasts. There were no financial assets held by DAC that are subject to the guidance in FASB ASC 326.

DAC adopted the standard effective October 1, 2023. The adoption of this standard did not have a material impact on the financial statements.

Dependency Advocacy Center
Notes to Financial Statements
September 30, 2024

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

Subsequent events

DAC evaluated subsequent events through February 5, 2025, the date the financial statements were available to be issued. There were no material subsequent events that required recognition or additional disclosure in the financial statements.

3. PROPERTY AND EQUIPMENT, NET

Property and equipment, net consisted of the following:

Computer equipment	\$ 82,095
Software	29,000
Furniture and office equipment	<u>1,669</u>
	112,764
Accumulated depreciation	<u>(101,803)</u>
	<u><u>\$ 10,961</u></u>

Depreciation expense totaled \$11,291 for the year ended September 30, 2024.

4. LINE OF CREDIT

DAC has a revolving line of credit available through Wells Fargo Bank that matures on March 2025. Advances under the line of credit are limited to \$250,000. There were no outstanding balances as of September 30, 2024. The interest rate is the greater of 5% or the bank's prime rate plus 0.75% (8.75% as of September 30, 2024) per annum, and is payable on a monthly basis. Various members of management act as limited guarantors for the line of credit.

There was no interest expense incurred on the line of credit for the year ended September 30, 2024.

5. NET ASSETS WITH DONOR RESTRICTIONS

Net assets with donor restrictions consisted of the following:

State Bar of California grants	\$ 77,023
California Access to Justice Commission	51,517
Other	<u>1,000</u>
	<u><u>\$ 129,540</u></u>

Dependency Advocacy Center
Notes to Financial Statements
September 30, 2024

5. NET ASSETS WITH DONOR RESTRICTIONS (continued)

Net assets with donor restrictions released from restriction during the year were as follows:

State Bar of California grants	\$ 21,460
Mentor Parent Program	2,400
Other	<u>903</u>
	<u><u>\$ 24,763</u></u>

6. LEASES

DAC leases office space under a non-cancelable operating lease agreement that expires at April 2029. The lease currently calls for monthly payments of \$13,018. The operating lease ROU assets and operating lease liabilities totaled \$684,311 and \$688,335, respectively, as of September 30, 2024. The DAC maintains a finance lease for office equipment that is scheduled to expire in May 2027. This lease calls for monthly payments of \$329. At September 30, 2024, the finance lease ROU asset and finance lease liability amounted to \$9,470 and \$9,563, respectively.

Additional information related to the leases is as follows:

	<u>Finance Lease</u>	<u>Operating Lease</u>
Operating lease cost	\$ -	\$ 189,225
Operating cash flows from operating leases	-	197,161
Amortization of ROU asset	1,528	-
Interest on lease liability	208	-
Remaining lease term	2.58	4.58
Discounted rate	4.79 %	4.64 %

The scheduled minimum lease payments under the lease terms are as follows:

<u>Year ending September 30,</u>	<u>Finance Lease</u>	<u>Operating Lease</u>
2025	\$ 3,943	\$ 158,173
2026	3,943	162,918
2027	2,300	167,805
2028	-	172,839
2029	<u>-</u>	<u>102,566</u>
	10,186	764,301
Less: discounts to present value	<u>(623)</u>	<u>(75,966)</u>
	<u><u>\$ 9,563</u></u>	<u><u>\$ 688,335</u></u>

Dependency Advocacy Center
Notes to Financial Statements
September 30, 2024

7. CONCENTRATIONS

The table below represents approximate receivable concentrations for the following grantors as of September 30, 2024:

The State of California	50.00 %
The County of Santa Clara	50.00 %

The table below represents approximate revenue concentrations for the following grantors during the year ended September 30, 2024:

The State of California	50.00 %
The County of Santa Clara	50.00 %

8. RETIREMENT PLAN

Effective October 1, 2008, DAC established a defined contribution pension plan. The plan provides retirement benefits to substantially all employees. The plan is currently funded solely by employee contributions to the plan.

9. RELATED PARTY

DAC received approximately \$163,000 in in-kind contributions from a board member during the year ended September 30, 2024.

10. LIQUIDITY AND AVAILABILITY OF RESOURCES

As part of DAC's liquidity management, it structures its financial assets to be available as its general expenditures, liabilities, and other obligations come due. DAC expects that all grants and contract receivables will be collected and available within 90 days of the fiscal year end. These receivables will be available to support general operations. Additionally, DAC has access to a line of credit with a maximum borrowing limit of \$250,000 should an unanticipated liquidity event occur.

The following is a quantitative disclosure which describes financial assets that are available as of September 30, 2024 to fund general expenditures and other obligations as they become due over the next year:

Financial Assets	
Cash	\$ 1,147,240
Grants and contract receivables	<u>997,474</u>
	<u><u>\$ 2,144,714</u></u>

Dependency Advocacy Center
Notes to Financial Statements
September 30, 2024

11. IN-KIND CONTRIBUTIONS

In-kind contributions are reported as contributions at their estimated fair value on the date of receipt. DAC's gifts-in-kind consisted of contributed services from attorneys and are valued at the estimate fair value based on current rates for similar legal services.

In-kind contributions consisted of the following:

	<u>Contributions</u>	<u>Expenses</u>
Legal services	<u>\$ 163,288</u>	<u>\$ 163,288</u>